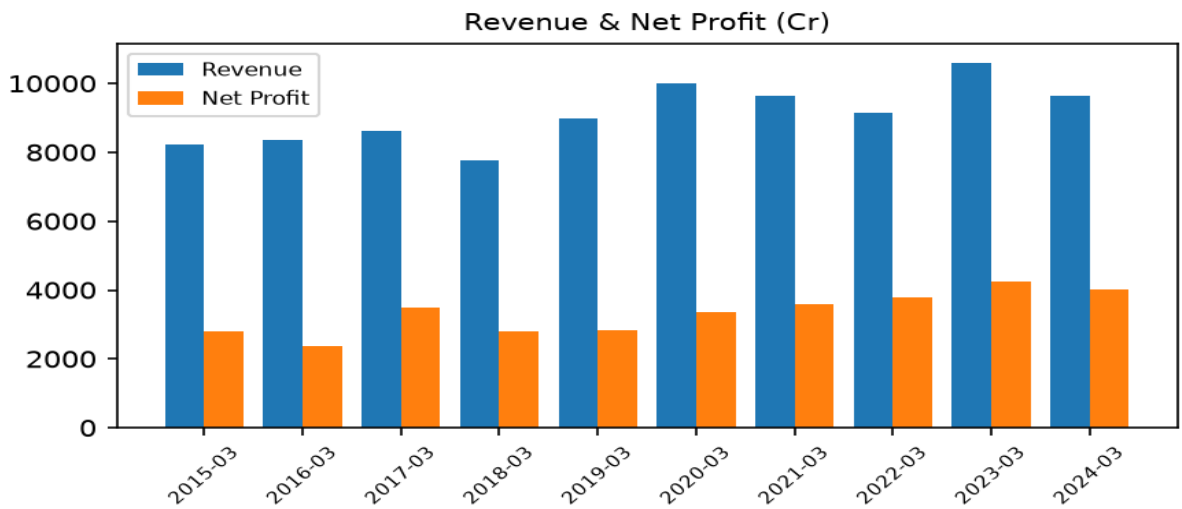


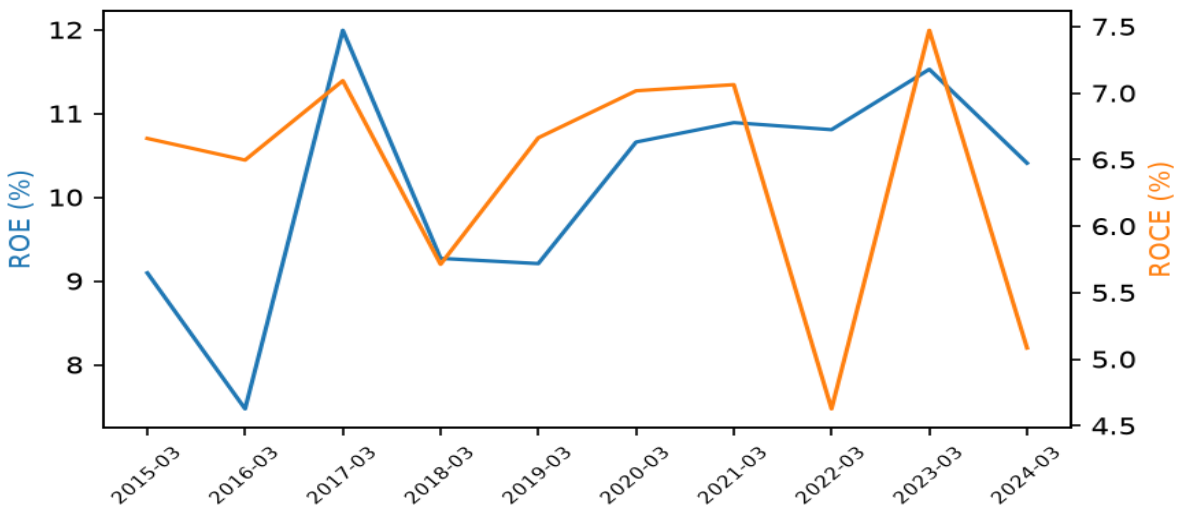
NHPC Ltd (NHPC)

ROE 10.4%	ROCE 5.1%	Net Profit Margin 41.8%
D/E 0.8	Revenue CAGR 5yr 1.4%	Free Cash Flow (Cr) 970.0

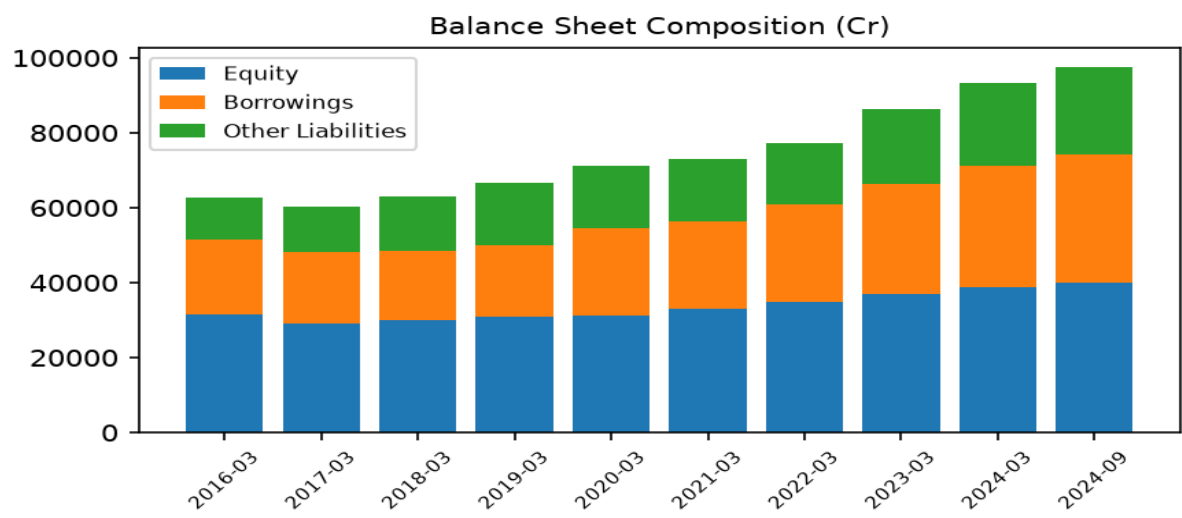
Revenue & Net Profit (10yr)



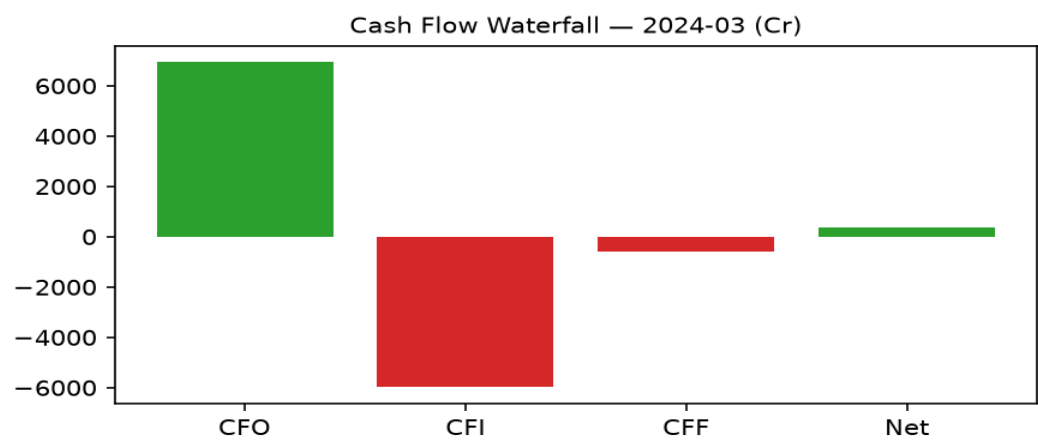
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns